Vertex Energy plc
Annual Report FY2024

Sector: Renewable Energy. All figures in US dollars. Fiscal year ends 31 March 2024. This is a synthetic document created for an educational capstone project.

Chairman's Letter to Shareholders

Dear shareholders, FY2024 was a year of disciplined execution for Vertex Energy plc. Revenue for FY2024 was $1,804.5 million. Net income for FY2024 was $281.4 million and earnings per share were $2.73. The Board has recommended a dividend of $1.09 per share.

Our strategy for the coming year focuses on adding 600 MW of solar capacity, scaling battery storage and refinancing long-term debt. We remain committed to transparent reporting, prudent capital allocation and sustainable long-term value creation.

Management Discussion and Analysis

Gross profit for FY2024 was $642.4 million, giving a gross margin of 38.4%. Operating expenses were $221.4 million and operating income was $421.0 million. EBITDA for FY2024 was $496.3 million.

Net income declined from $298.4 million in FY2023 to $281.4 million in FY2024, a change of -5.7%. Interest expense was $45.8 million, reflecting the level of long-term debt of $648.5 million.

Segment performance: Solar Generation contributed $420.3 million; Wind Generation contributed $825.6 million; Energy Storage contributed $425.0 million.

Liquidity and Capital Resources

Cash and cash equivalents at year end were $116.2 million. Net cash from operating activities was $398.9 million and capital expenditure was $125.0 million, resulting in free cash flow of $273.9 million. Total current assets were $351.5 million against total current liabilities of $269.0 million.

Total assets were $2,187.7 million, total liabilities were $974.1 million and shareholders' equity was $1,213.6 million.

Principal Risks and Uncertainties

• Changes in government renewable-energy subsidies could reduce project returns.

• Higher interest rates increase the cost of financing new capacity.

• Weather variability affects generation volumes and revenue.

• Supply-chain constraints on solar panels and turbine components.

Outlook

For FY2025, management expects revenue growth of 3% to 9%, supported by adding 600 MW of solar capacity, scaling battery storage and refinancing long-term debt. Guidance assumes stable macroeconomic conditions.

Consolidated Income Statement

Line item ($ million)	FY2024	FY2023
Revenue	1,670.8	1,579.8
Cost of revenue	1,028.4	932.6
Gross profit	642.4	647.2
Operating expenses	221.4	204.2
Operating income (EBIT)	421.0	443.1
Depreciation & amortisation	75.4	53.0
EBITDA	496.3	496.2
Interest expense	45.8	45.3
Tax expense	93.8	99.5
Net income	281.4	298.4

Consolidated Balance Sheet

Line item ($ million)	FY2024	FY2023
Cash and cash equivalents	116.2	211.5
Total current assets	351.5	428.2
Total assets	2,187.7	2,042.4
Total current liabilities	269.0	250.0
Long-term debt	648.5	695.7
Total liabilities	974.1	997.6
Shareholders' equity	1,213.6	1,044.8

Consolidated Cash Flow Statement

Line item ($ million)	FY2024	FY2023
Net cash from operating activities	398.9	347.8
Capital expenditure	125.0	114.2
Free cash flow	273.9	233.6